• Home Equity Loans

Number one is home equity loans. The 1986 Tax Reform Act disallowed income tax deductions for most forms of consumer credit while retaining write-offs for loans against homeowner's equity. Since that time, tens of thousands of homeowners have borrowed billions of dollars against the equity in their homes, a decision that will cost many, if not most, of them their homes in a bad economy.

An equity loan is much like a line of credit. Once the amount is approved, the homeowner can literally write checks against it to buy cars, clothes, take vacations, and so forth. The primary dangers with home equity loans are:

(1) People use them to buy indulgences they don't need, unnecessarily placing their homes in jeopardy.

(2) Most home equity loans have a sizable origination fee and an annual maintenance fee.

(3) Often the interest rate is variable and can increase monthly.

(4) The loan is often a demand note that can be called any month.

• Automatic Overdrafts

Number two on my list of bad financial decisions is the use of automatic overdraft loans for checking accounts. They encourage users not to balance their checking accounts because users know the overdrafts will be covered. Automatic overdrafts also are high-interest loans that are difficult to pay off.

• Car Leases

Number three on my list of bad financial decisions is car leases. Many couples that cannot even afford the down payment on a new car turn to leasing as an alternative to buying. As a result, they take on the highest form of car debt.

A lease is just as binding as a loan, and often much more costly. If you can't make the lease payment and the car goes back, it is sold at auction and the lessor sues for any deficiencies. A lease default will ruin your credit rating just as surely